Ch. 5 Non-Textbook Questions

Principles of Microeconomics

June 25, 2026

1. Do you think the price elasticity of demand for Ford SUVs will increase, decrease, or remain the same when each of the following events occurs? Please explain your answer.

   (a) Other car manufacturers, such as General Motors, decide to make and sell SUVs.

   (b) SUVs produced in foreign countries are banned from the U.S. market.

   (c) Due to ad campaigns, Americans believe that SUVs are much safer than ordinary passenger cars.

   (d) The time period over which you measure the elasticity lengthens. During that longer time, new models such as four-wheel-drive cargo vans appear.

2. (a) Suppose the price elasticity of supply for iPhones is 1.6. If the price of iPhones decreases by 18%, what happens to the quantity supplied?

   (b) Suppose the income elasticity of demand for iPhones is 0.6. If average income increases from $38,000 to $42,000, what happens to the quantity of iPhones demanded?

   (c) What sign would the cross-price elasticity of demand between iPhones and portable chargers have?

   (d) Suppose Apple raises the price of an iPhone by 5% and iPhone revenue increases by 2%. What is the price elasticity of demand.

3. A technological breakthrough in semiconductor production makes it cheaper to produce semiconductor chips. Assume total revenue goes up for chip manufacturers. In terms of price elasticity of demand, what must be true? Please illustrate the change in total revenue with a diagram.

4. Taxicab fares in most cities are regulated. Several years ago taxi-cab drivers in Boston obtained permission to raise their fares 10 percent, and they anticipated that revenues would increase by about 10 percent as a result. They were disappointed, however. When the commissioner granted the 10 percent increase, revenues increased by only about 5 percent. What can you infer about the elasticity of demand for taxicab rides? What were taxicab drivers assuming about the elasticity of demand?